Ending Contracts

English contract law | Study guide | Validity, discharge and remedies

Start with the timeline. Did the problem affect consent or validity when the parties contracted, or did it arise during the life of a binding contract? The answer helps identify the legal route and what happens to money already paid or obligations already due.

1. Void, voidable and discharged

A **void** agreement has no binding contractual effect from the outset. A **voidable** contract is effective unless and until the entitled party sets it aside. **Discharge** releases parties from the relevant contractual duties. For a contract terminated for repudiatory breach, the release generally concerns future primary obligations. Rights already accrued may survive.

2. Misrepresentation | Was consent induced by a false statement?

An actionable misrepresentation inducing entry into the contract generally makes it voidable. Rescission may be available, subject to bars. Damages are a separate question. The Misrepresentation Act 1967, ss 1–2, addresses certain bars and routes to damages.

3. Mistake | Did a fundamental error exist at formation?

Common mistake is a narrow doctrine. In *Great Peace*, the Court of Appeal required, among other things, that the parties' shared mistake make performance impossible and that the contract not allocate the relevant risk. A disappointing bargain is insufficient. Other categories of mistake have their own tests.

4. Illegality | Can the particular claim be enforced?

Start with any applicable statute. Under *Patel v Mirza*, where the common-law illegality defence is in issue, consider the purpose of the rule breached, other affected public policies and whether denying the claim would be proportionate. A claim to recover money already transferred raises a different question from a claim to enforce the bargain.

> Legal English | **Void** concerns legal effect from the outset. **Voidable** identifies an effective contract that an entitled party may set aside. Ask what legal consequence the facts support.

Defective Consent

1. Duress | Illegitimate pressure

Ask whether the pressure was illegitimate and induced the agreement. In economic duress, the absence of a reasonable alternative is central. A supplier's threat to withhold a delivery already due unless the buyer pays more may qualify if the buyer has no realistic substitute. *Times Travel* shows that duress based on a threat to do something lawful is exceptional.

2. Undue influence | Abuse of influence

A party may prove undue influence directly. Under *Etridge*, evidence of a relationship of trust and confidence, coupled with a transaction that calls for explanation, can support an inference of undue influence. The other party may rebut that inference. Independent advice can be relevant. Consider what the advice addressed and whether the person made a genuinely independent decision.

For example, an unexplained guarantee of a trusted adviser's debts can call for scrutiny of how the guarantor's consent was obtained.

3. Rescission | Unwinding a voidable contract

Rescission generally aims to undo the transaction and restore the parties, so far as practicable, to their pre-contract positions. Depending on the doctrine and facts, affirmation, intervening third-party rights or difficulties in restoring benefits can affect availability. Identify when the relevant pressure ceased or the party learned the facts, and what that party did next.

4. Build the evidence from the timeline

For duress, look for the threat, the deadline, available substitutes and any protest or prompt challenge. For undue influence, look at who arranged the deal, how the decision was made and whether the person could decide freely. Identify the specific contract or variation that was induced.

> A useful distinction | Duress focuses on illegitimate pressure. Undue influence examines whether someone improperly used their influence over another person's decision.

Discharge of a Binding Contract

1. Performance | The parties do what they promised

Proper performance discharges the obligations performed. For example, delivery and payment can complete an ordinary sale. Identify any duties intended to continue, such as a confidentiality obligation.

2. Agreement | The parties agree to release obligations

The parties may end the contract by a valid later agreement or exercise an agreed termination right. A mutual release can provide consideration. Check how the contract requires notice to be given and whether any agreement must be signed or recorded in writing.

3. Breach | The innocent party may elect to terminate

A repudiatory breach, such as an unequivocal refusal to perform or a breach going to the root of the bargain, gives the innocent party a choice to accept the repudiation and terminate or affirm the contract. For an innominate term, *Hong Kong Fir* asks whether the breach deprives that party of substantially the whole contractual benefit. A lesser breach generally gives a damages remedy if loss is proved. Termination for breach generally releases future primary obligations and preserves accrued rights and claims for damages.

4. Frustration | A supervening event changes the obligation

Without relevant fault, a later event may make performance impossible, unlawful or radically different from what was agreed. Examine how the contract allocated the risk. Mere extra expense or delay is ordinarily insufficient (*Davis Contractors*). Frustration discharges future performance automatically. Where applicable, the 1943 Act governs the treatment of payments, expenses and valuable benefits already conferred.

> Legal English | **Accept the repudiation** means elect to treat the contract as terminated. **Frustration** operates by law once its requirements are met.

Worked Problem and Sources

The dockside exhibition

A company books a named hall for a one-day exhibition and pays £3,000 in advance. The booking is tied to that hall and date. No term allocates the risk of a legal closure. A new, unforeseeable order later makes use of the hall unlawful on that date, through neither party's fault. What changes if the hall remains lawful but the owner unequivocally refuses to provide it for the agreed date?

Model analysis

Closure order. The promised use has become unlawful after formation. With no allocated risk on these facts, frustration is likely. It operates automatically. Where the 1943 Act applies, the advance is in principle recoverable, subject to any amount the court allows the owner to retain for qualifying expenses.

Refusal. The refusal goes to the core obligation and is likely repudiatory. The organiser may accept the repudiation and terminate, then claim damages for proven loss subject to the usual rules. Any claim for return of the advance must be analysed separately under the rules applicable to breach.

> Variation | Before signature, the owner knowingly claims a required permit is already in place. The organiser signs in reliance on that false statement. Begin with misrepresentation and the availability of rescission.

Selected cases and legislation

Misrepresentation Act 1967 ss 1–2 | Misrepresentation
Great Peace Shipping v Tsavliris Salvage [2002] EWCA Civ 1407 | Common mistake
Patel v Mirza [2016] UKSC 42 | Illegality
Pakistan International Airline Corp v Times Travel [2021] UKSC 40 | Economic duress
Royal Bank of Scotland v Etridge (No 2) [2001] UKHL 44 | Undue influence
Hong Kong Fir Shipping v Kawasaki [1962] 2 QB 26 | Repudiatory breach
Davis Contractors v Fareham UDC [1956] AC 696 | Frustration
Law Reform (Frustrated Contracts) Act 1943 ss 1–2 | Financial adjustments